Pawnshop Lockers

EXECUTIVE SUMMARY

Pawnshop Lockers
Submitted to the University Business Plan Competition

OVERVIEW

Pawnshop Lockers is a early stage Internet and Consumer Technology company that is building a network of smart-lock parcel lockers placed inside corner stores and laundromats in apartment heavy neighborhoods. Our mission is to be the trusted last step for packages in places where the traditional delivery model is broken. We combine electronic hardware, a mobile app, and local business partnerships into one solution that we believe is disruptive and scalable.

THE PROBLEM

Package theft is a huge problem in the United States. Millions of packages are stolen every year according to various surveys we have read, and the problem is especially bad in dense apartment neighborhoods where buildings dont have a doorman, a secure mailroom, or even a working front door lock. Packages get left in hallways, on stoops, or in lobbies where anyone can take them. Residents in these neighborhoods often work long or irregular hours so they cant be home to receive deliveries. When a package is stolen the customer has to deal with the retailer, wait for a replacement, and lose trust in online shopping. Several of our team members have personally had packages stolen in the apartments they lived in while at school, which is how we got the idea.

Existing solutions like the lockers in big chain stores and in some apartment lobbies are not available in the neighborhoods that need them most, because those neighborhoods have older buildings and lower income residents and are not a priority for large companies.

OUR SOLUTION

We install a modular locker unit inside a local corner store or laundromat. The unit has a cellular connected smart lock on each compartment, so it doesnt need the shops wifi. A resident signs up on our app, gets a Pawnshop Lockers address code, and uses it at checkout so their package is sent to the locker. When it arrives, the resident receives a notification and a one time pickup code. They walk to the shop, enter the code, and the door opens. The shop owner does not have to handle any packages, which keeps their workload low, and they earn a fee each time a package is picked up.

The name comes from the idea that the neighborhood shop is a trusted place that people already visit, like a pawnshop used to be a neighborhood anchor. We think this brand is memorable.

THE MARKET

There are many apartment dwellers in America, and e-commerce keeps growing every year. If even a small percent of these households used a locker near them, the market would be very large. We estimate that there are tens of thousands of corner stores and laundromats in the target type of neighborhood nationwide, and if each had a locker at a modest fee the revenue potential is in the billions. Our initial target is a few neighborhoods in our city, then other cities with similar density. We have not yet done a formal market sizing but we believe the top down numbers are very promising.

BUSINESS MODEL

We make money in a few ways. First, we charge a fee per package pickup, part of which is passed to the shop owner as their commission. Second, we plan to charge residents a small optional subscription for extended storage time and text alerts. Third, we plan to partner with delivery carriers and retailers who would pay us to use the lockers as a delivery destination, and with

property managers who would pay to offer the service to their tenants. The shop owner pays nothing up front for the locker, as we cover the hardware cost and own the unit.

Our current pricing is around a dollar a pickup with the shop owner keeping roughly forty percent, though this is still being tested. We expect the hardware to pay for itself over time as volume grows, but we dont have enough data yet to say how long that will take.

COMPETITION

The space is crowded. There are large national locker companies, carrier owned lockers, retail partnership pickup points, and apartment lobby locker systems. There are also package concierge apps and neighborhood pickup point networks that use shops to hold packages by hand. We think our difference is the focus on underserved neighborhoods, the use of smart lock hardware so shop owners do not need to watch packages, and the fee model that gives shops a reason to participate. We know bigger players could copy us, but we think our local relationships and focus will be a moat.

THE TEAM

Devontae Ricks is the CEO and handles business development, shop relationships, and fundraising. He studies business at our university and previously worked part time at a corner store owned by his uncle, so he understands the shop owner side.

Marisol Quenneville is the CTO and leads the app and the electronics. She is a computer engineering major and built our first working prototype of the locker door and lock controller.

Tobias Wangari-Holt is in charge of operations and design. He studies industrial design and is responsible for the physical unit, installation, and the customer experience.

We also have informal advisors from our university, though we have not signed any formal agreements with them.

MILESTONES AND FINANCIALS

We have registered the company, although the legal entity is not formed yet and we are working on that step. We have a website. We built a working prototype and installed a first unit in one laundromat near campus, and our first client has paid us. We have a small number of residents signed up and a handful of packages have gone through the locker so far. Early feedback has been positive, though the sample is small.

Our costs so far are mostly the hardware parts, the cellular service, and some small expenses paid by the founders out of pocket. Revenue to date is very small, just the first payment and a few pickup fees. We project that with additional lockers we could reach breakeven in a reasonable time, and we expect revenue to grow quickly once we sign more shops, but we have not finished a detailed financial model.

WHAT WE ARE ASKING FOR

We are applying to this competition for prize funding to build more locker units and install them in additional shops, which we think will let us prove the model with real numbers. We would use funds for hardware manufacturing, cellular and software costs, legal setup of the company, and some marketing in the target neighborhoods. We would also value mentorship from judges and experienced entrepreneurs about hardware, pricing, and how to approach carriers and property managers. Finally, we are looking for introductions to local business associations that could help us reach more shop owners.

CONCLUSION

Pawnshop Lockers has the potential to make package delivery safer and more convenient in neighborhoods that big companies overlook, while giving local shops a new source of income. We

are passionate, hardworking, and excited to learn, and we believe this competition is the right next step for us.